DEBT & EQUITY

A $621 Million Loan Closed. Here's What M&T Had to Believe.

The refinancing of Merritt's 58-property Maryland portfolio reveals how regional banks are underwriting industrial risk in 2026.

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A source-grounded Light Tower Insight. The complete note follows.

A $621 million loan closed on a 58-property industrial portfolio in Maryland. The headline is the size. The story is the lender.

M&T Bank, a regional institution with a long history in the Mid-Atlantic, put its balance sheet behind a seven-year refinancing for Merritt Properties, a Baltimore-based developer and operator. The portfolio spans 6.3 million square feet across the Baltimore-Washington Corridor, northwest Baltimore, the I-95 Corridor, and Hagerstown. JLL arranged the loan.

This is not a CMBS execution. It is not a life company deal. It is a seven-year balance sheet loan from a regional bank that chose to deploy $621 million of its own capital into a single industrial portfolio at a moment when commercial real estate lending is still recovering from the 2023-2024 correction.

To approve that loan, M&T had to believe several things at once.

It had to believe that industrial demand in the Baltimore-Washington Corridor will remain durable through 2033. It had to believe that Merritt Properties, a sponsor with decades of local market presence, can maintain occupancy and rent growth across 58 discrete assets. It had to believe that the portfolio's diversification across submarkets and building types is real protection, not just a spreadsheet convenience. And it had to believe that seven years is enough time for the current rate environment to resolve itself without forcing a refinancing crisis.

That last belief is the most revealing.

A seven-year term is not a short bet. It is a bet that the Federal Reserve will have normalized rates, that cap rates will have stabilized, and that the industrial sector will have absorbed whatever supply is currently under construction. It is a bet that the borrower will not need to refinance into a market that looks materially different from today's. It is a bet that time, the most expensive ingredient in any capital decision, will cooperate.

M&T is not alone in making this bet. Regional banks that survived the 2023 liquidity scare are selectively returning to commercial real estate lending. They are not underwriting office. They are not underwriting speculative development. But they are underwriting industrial portfolios with strong sponsors, diversified tenancy, and proven cash flow. The question is not whether they can lend. The question is what they require to say yes.

Merritt Properties is the kind of sponsor that makes that yes easier. The company has been developing and operating industrial assets in Maryland for decades. It knows the submarkets. It knows the tenants. It knows the leasing dynamics of the Baltimore-Washington Corridor, where e-commerce and logistics demand have created a structural bid for well-located industrial space. A sponsor with that track record reduces underwriting uncertainty. It does not eliminate it, but it compresses the range of outcomes that a credit committee has to worry about.

The portfolio itself also helps. Fifty-eight properties across four submarkets is genuine diversification. No single building failure can break the loan. No single tenant default can threaten debt service. The portfolio's cash flow is the aggregate of hundreds of leases, each with its own expiration, renewal probability, and rent step. That kind of granularity is what balance sheet lenders want to see when they commit nine figures of their own capital.

But diversification is not a guarantee. Industrial vacancy has risen in some markets as new supply has come online. Rent growth has moderated from the pandemic-era peaks. The Baltimore-Washington Corridor is not immune to these trends. M&T is betting that Merritt's portfolio, with its light industrial focus and established tenant base, will outperform the broader market. That is a reasonable bet, but it is still a bet.

The structure of the loan also matters. A seven-year term gives the borrower time, but it also gives the lender time. M&T will collect interest for seven years, building a relationship with a sponsor that will likely need additional capital for future acquisitions and developments. The loan is not just a financing. It is a relationship investment. Regional banks that want to compete with larger institutions and private credit funds have to offer more than just a rate. They have to offer certainty, speed, and a willingness to understand the borrower's business. M&T is signaling that it can do all three.

For other owners and sponsors, the signal is clear. Regional bank balance sheet lending is available for the right assets, the right sponsors, and the right structures. The bar is high. The underwriting is thorough. The terms are long enough to provide genuine stability. But the capital is there.

The question is whether it will stay there. Regional banks face their own funding pressures, regulatory constraints, and competition from private credit. A single $621 million loan does not prove that the regional bank lending channel is fully open. It proves that it is open for Merritt Properties, in this market, at this moment.

That is enough to test. Owners with industrial portfolios in strong submarkets should be calling their lenders. The window may not stay open forever.

SOURCES

— RE Business Online — https://rebusinessonline.com/jll-secures-621m-refinancing-of-maryland-industrial-portfolio-for-merritt-properties/

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